US Economic Weekly

Global Markets Research
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Economics - North America

Force Multiplier

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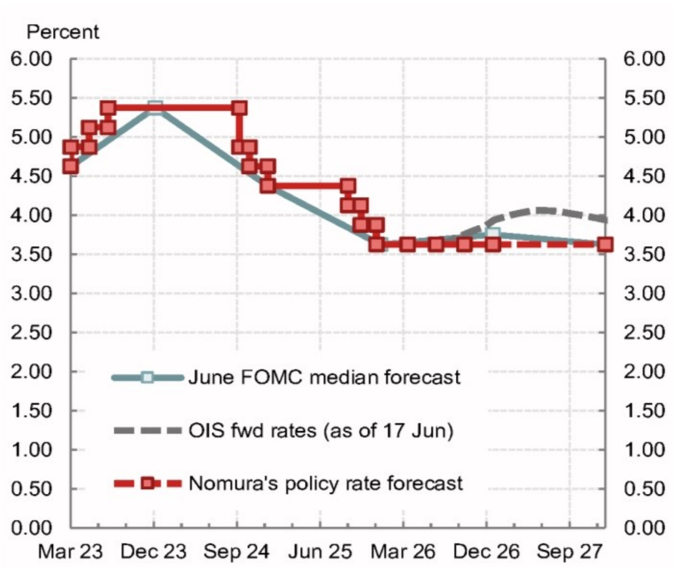
- *The FOMC kept rates on hold at their June meeting.* The dot plot and economic projections were hawkish, while Chair Warsh's press conference signaled his dovish tilt. The risk of rate hikes has increased, but we continue to expect the Fed will remain on hold through the end of 2027.
- Warsh announced the creation of five new task forces to revamp the Fed, focusing on communication, data measurement, balance sheet policy, productivity, and inflation frameworks. He indicated that he will likely announce personnel in the next few weeks, with task force recommendations targeted for year-end.
- Incorporating CPI, PPI, and import prices, we expect core PCE inflation accelerated by 0.376% m-o-m in May. This translates into y-o-y core PCE inflation of 3.457%.
- The US and Iran have announced a preliminary agreement to end the war, during which negotiations are expected to continue on unresolved issues, including sanctions relief and the future of Iran's nuclear program.

The FOMC kept rates on hold at their June meeting (*Fig. 1*). The dot plot and economic projections were hawkish. Chair Warsh's press conference, however, signaled his dovish bias. Overall, we maintain our expectation of no changes to the policy rate through the end of 2027 (*Fig. 2*).

Fig. 1: The FOMC kept rates on hold at their June meeting



Source: FRB, Bloomberg, Nomura

Fig. 2: We maintain our expectation of no changes to the policy rate through the end of 2027

Tool	Key assumptions
Policy rate	
2026	No rate cuts, EOP 3.625%
2027	No rate cuts, EOP 3.625%
Terminal	3.50 - 3.75%
Balance sheet policy	
Size	Reserve management purchases of $10bn/month. The NY Fed is actively managing reserve management purchases in response to seasonal liquidity demand and market conditions. We expect balance sheet growth to average $20bn per month in the medium term.
Composition	MBS rundown to continue, with proceeds reinvested into Treasuries. Both reinvestments and eventual reserve management purchases will be skewed towards Treasury bills.

Source: FRB, Nomura

The dot plot and economic projections became more hawkish

The June dot plot was more hawkish than expected, as the median 2026 dot indicated half a rate hike (3.750%) from the current level of 3.625% (Nomura and Consensus: 3.625%) (*Fig. 3*). Although Chair Warsh did not submit his own dots, nine out of a total 18 dots were consistent with at least one rate hike in 2026, and only one participant, likely Governor Bowman, believed a rate cut in 2026 was appropriate, with the rest expecting no changes.

Beyond 2026, the median 2027-2028 dots were in line with our expectations (3.625% for

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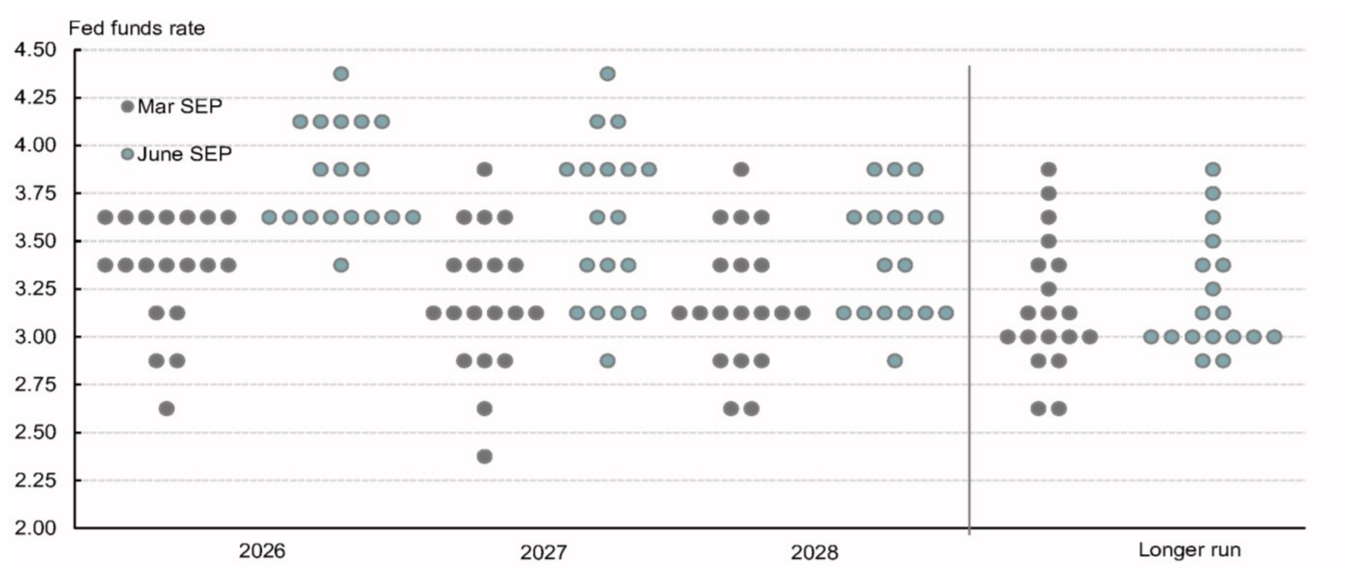
2027 and 3.375% for 2028), but higher than the consensus forecasts (Consensus: 3.375% for 2027 and 3.125% for 2028). In the medium term, most FOMC participants believed some policy easing would be appropriate, allowing the policy rate to converge toward neutral. One dovish surprise was a slight decline in the median longer-run dot, which unexpectedly fell to 3.063% from 3.125% previously. However, the mean of the longer-run dots moved higher to 3.208% from 3.164% previously. The dispersed distribution of longer-run dots indicates a wide range of views on the neutral rate.

Note that one unidentified participant (in addition to Warsh) did not submit a dot for 2028, leaving the total number of 2028 dots at 17. We think it could be former Chair Powell, whose term as a governor expires in January 2028.

The Summary of Economic Projections was also hawkish on net, as the median projections for core PCE inflation for 2026-2028 were revised up, which suggests many FOMC participants expected some lingering price pressures.

Fig. 3: The dot plot was more hawkish than expected

The December dot plot



Source: FRB, Nomura

Simplified policy statement with assurance of continuing the ample-reserve system

Chair Warsh successfully simplified the meeting statement, which was significantly shorter than previously. It mentioned the policy decision and the Fed's assessment on economic activity and inflation but omitted any forward-looking elements. Importantly, the statement explicitly noted the Fed's intention to maintain "ample" reserves, which confirmed no imminent changes to balance sheet policy.

Warsh’s press conference hinted at dovishness

While economic and monetary policy projections were hawkish on net, *Warsh’s comments signaled his dovish tilt* .

Despite the significant hawkish shift in the 2026 dot plot, he downplayed its importance. He said “all the submissions [of the dots] were coming in with pencils—those kinds with big erasers,” suggesting the dots could be revised drastically if the macroeconomic environment changes. Moreover, he suggested a false symmetry in the dot plot, saying “half of my colleagues thought the policy rate… should be at this level or lower between now and year-end,” although only one participant expected a rate cut this year.

Moreover, when asked about the Fed’s 2% inflation target, he said, “I tend to focus on the left of the decimal point,” which suggests he might consider inflation of 2.0-2.9% as consistent with the Fed’s 2% target.

In addition, Warsh described the restrictiveness of monetary policy as “uneven,” contrasting weak housing markets, whereby interest rates are suppressing growth, with financial markets, which have been strong despite relatively high interest rates. He attributed the unevenness to “whether monetary policy is coming from our interest rate tool or our balance sheet tool.” This suggests that he appears to see the policy rate as restrictive, while balance sheet policy supports financial markets.

Another dovish element of his press conference was his comments on a conventional trade-off between the Fed's dual mandate – price stability and maximum employment. He said that he did not believe the existence of "a cruel choice" between the two, and "we can make strong growth, low prices, and strong employment mutually compatible."

Focus is on the five task forces

Warsh announced the establishment of task forces focusing on five areas: Fed communication, balance sheet policy, the use of and reliance on existing data sources, productivity and jobs, and inflation frameworks. Warsh avoided giving direct answers to many questions from reporters by deferring to future work by those task forces.

Warsh said that he is in the process of recruiting task force members and expects them to begin work "in the next couple of weeks," provide some insights "starting in the fall," and that "hopefully most, if not all," conclude "by year-end." Although inflation risks are at the center of discussion on the Committee, one of those task forces is aimed at reviewing how the Fed should gauge inflation, suggesting that the bar to a hike might be higher until those task forces provide policy proposals later this year.

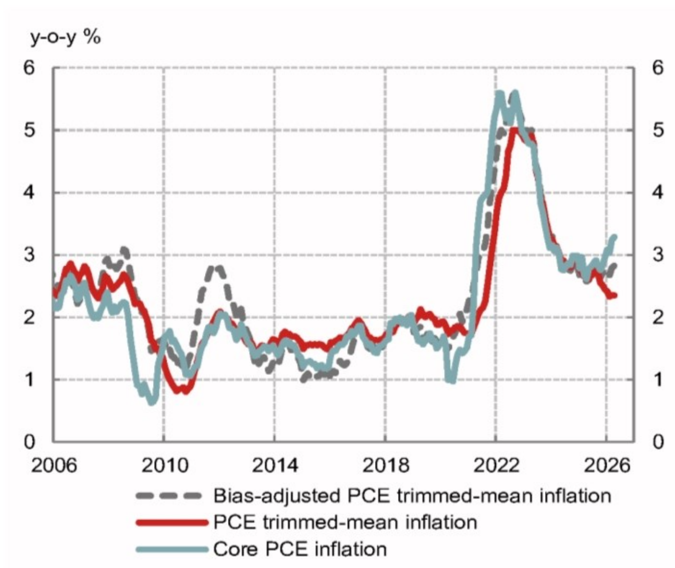
Moreover, Warsh said that he is "enlisting" economists for the task forces, raising the possibility that the task forces will deliver dovish recommendations that may not have the support of a majority of the FOMC.

For instance, at his press conference, Warsh criticized federal government statistics, saying most of them "come with old-fashioned survey methods." Instead, he favored "real-time" data and was eager to incorporate new data collection techniques from the private sector. Although former Chair Powell previously highlighted some issues caused by low response rates for some key survey-based data, most policymakers have said that they consider statistics from federal statistical agencies as the "gold-standard" of economic data.

Some FOMC participants might not accept any task force recommendations that emphasize alternative inflation data because their recommendations could be considered as an opportunistic shift in the inflation target. Note that FOMC participants pushed back against Warsh's preference for *the PCE trimmed-mean inflation measure* recently.

Fig. 4: PCE trimmed-mean inflation appears to understate the underlying inflation trend

PCE trimmed-mean inflation: official vs. bias-adjusted



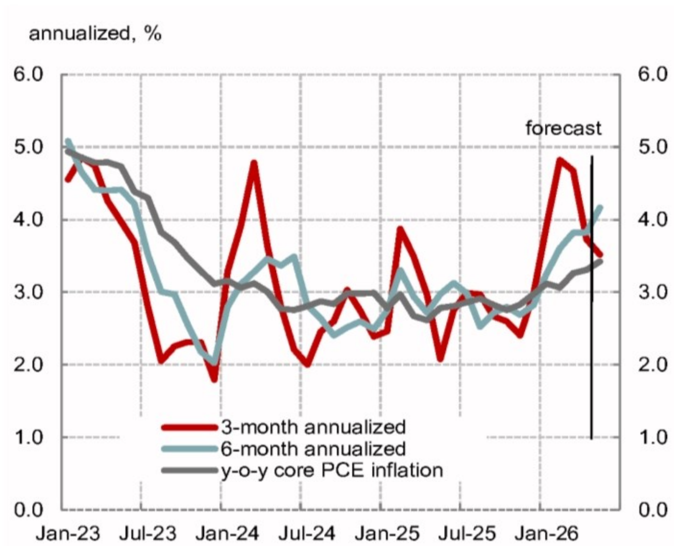
Source: BEA, Dallas Fed, Haver, Nomura

Core PCE likely accelerated in May

Incorporating relevant details from CPI, PPI, and import prices, we expect core PCE inflation accelerated to 0.376% m-o-m in May from a revised 0.230% in April. This forecast along with expected backward revisions translates into 3.457% y-o-y core PCE inflation in May from a revised 3.307% in April (*Fig. 5*).

Core CPI inflation moderated and core CPI goods inflation turned negative in May for the first time since May 2025. We expect core PCE goods inflation also turned negative in May. *The increase in core PCE inflation was likely driven by components derived from PPI data*. In particular, PPI financial service prices rose strongly. Additionally, import prices for air passenger fares, an input into PCE's price index for passenger fares for foreign travel, jumped sharply and pushed up our estimate for core PCE inflation. As a result, we expect supercore PCE inflation accelerated strongly to 0.5% m-o-m in May, the highest since January (*Fig. 6*).

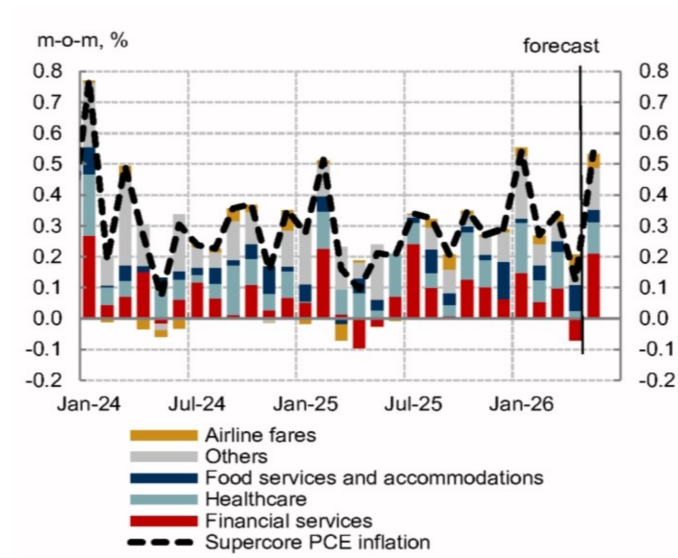
Fig. 5: Y-o-y core PCE inflation likely rose to 3.457% in May



Source: BEA, Haver, Nomura

Fig. 6: Supercore PCE inflation likely accelerated sharply in May, driven by a rebound in financial service prices

m-o-m supercore PCE inflation



Source: BEA, BLS, Haver, Nomura

Data next week will likely show the economy's resilience

The data which are scheduled for release next week will likely show the economy's resilience. Excluding the volatile transportation equipment component, we expect durable goods orders to have continued to rise at a decent pace of 0.6% m-o-m in May, reflecting the positive impact from the AI investment boom. The S&P manufacturing PMI likely inched down in June, but remained at a healthy level. We expect personal income and spending increased robustly and inflation-adjusted personal spending growth was slightly positive in May. The third estimate of Q1 GDP will likely be revised higher from the second estimate due to an upward revision to net exports.

Q2 GDP tracking was revised up due to stronger-than-expected retail sales

We have revised our Q2 GDP tracking estimate to 2.6% q-o-q ar from *2.4% last week*. Our estimate for real final sales to private domestic purchasers now stands at 2.8% from 2.7% previously. Retail sales rose 0.9% m-o-m in May, and the "control" group of retail sales also continued to grow at a decent pace of 0.7% m-o-m. The broad strength in retail sales pushed up the contribution from the PCE component of GDP, offsetting the impact of weaker-than-expected housing starts in May.

Iran war update

President Trump signed the memorandum of understanding ending the war with Iran on 17 June. The MOU includes opening the Strait of Hormuz and extending the ceasefire for 60 days, during which the US and Iran plan to negotiate a finalized deal. Crude oil prices dropped sharply in reaction to the agreement. Retail gasoline prices have been declining recently, which will likely weigh on headline inflation in June.

Fig. 7: Nomura's inflation forecasts

	Headline PCE		Core PCE			Headline CPI		Core CPI			CPI NSA
	m/m %	y/y %	m/m %	y/y %	qtrly, y/y %	m/m %	y/y %	m/m %	y/y %	qtrly, y/y %	Index
Jan-25	0.35	2.61	0.31	2.78		0.43	3.00	0.43	3.26		317.671
Feb-25	0.40	2.71	0.45	2.97		0.23	2.82	0.25	3.12		319.082
Mar-25	0.02	2.36	0.10	2.67	2.81	0.03	2.39	0.07	2.79	3.08	319.799
Apr-25	0.17	2.28	0.19	2.61		0.16	2.31	0.24	2.78		320.795
May-25	0.18	2.46	0.23	2.78		0.10	2.35	0.13	2.79		321.465
Jun-25	0.29	2.59	0.26	2.81	2.74	0.25	2.67	0.23	2.93	2.82	322.561
Jul-25	0.17	2.61	0.25	2.86		0.23	2.70	0.31	3.06		323.048
Aug-25	0.26	2.75	0.22	2.91		0.35	2.92	0.31	3.11		323.976
Sep-25	0.26	2.79	0.19	2.83	2.87	0.30	3.01	0.22	3.02	3.06	324.800
Oct-25	0.19	2.71	0.23	2.75		0.03	2.76	0.11	2.81		324.372
Nov-25	0.22	2.82	0.18	2.83		0.22	2.74	0.08	2.63		324.122
Dec-25	0.33	2.88	0.33	2.97	2.85	0.30	2.68	0.23	2.64	2.69	324.054
Jan-26	0.36	2.89	0.46	3.12		0.17	2.39	0.30	2.50		325.252
Feb-26	0.40	2.88	0.40	3.06		0.27	2.41	0.22	2.46		326.785
Mar-26	0.70	3.59	0.29	3.26	3.15	0.87	3.26	0.20	2.60	2.53	330.213
Apr-26	0.40	3.83	0.23	3.31		0.64	3.81	0.38	2.75		333.020
May-26	0.503	4.159	0.376	3.457		0.47	4.25	0.21	2.85		335.123
Jun-26	0.06	3.93	0.25	3.44	3.40	-0.08	3.88	0.26	2.85	2.81	335.065
Jul-26	0.11	3.86	0.21	3.40		0.05	3.70	0.22	2.75		335.015
Aug-26	0.19	3.79	0.20	3.38		0.20	3.54	0.22	2.66		335.439
Sep-26	0.22	3.75	0.20	3.40	3.39	0.24	3.46	0.22	2.66	2.69	336.041
Oct-26	0.16	3.71	0.22	3.38		0.12	3.54	0.22	2.77		335.861
Nov-26	0.22	3.71	0.21	3.41		0.24	3.54	0.22	2.91		335.600
Dec-26	0.26	3.63	0.21	3.29	3.36	0.30	3.51	0.22	2.90	2.86	335.430
Jan-27	0.21	3.47	0.25	3.08		0.19	3.54	0.27	2.87		336.765
Feb-27	0.12	3.18	0.20	2.89		0.06	3.34	0.20	2.85		337.696
Mar-27	0.21	2.68	0.20	2.80	2.92	0.21	2.70	0.20	2.85	2.86	339.123
Apr-27	0.16	2.44	0.20	2.77		0.14	2.17	0.19	2.66		340.258
May-27	0.17	2.10	0.20	2.59		0.14	1.82	0.19	2.65		341.230
Jun-27	0.16	2.20	0.20	2.53	2.63	0.13	2.05	0.19	2.57	2.63	341.918
Jul-27	0.19	2.28	0.19	2.52		0.19	2.18	0.19	2.54		342.316
Aug-27	0.20	2.28	0.19	2.50		0.20	2.19	0.18	2.50		342.779
Sep-27	0.21	2.28	0.19	2.48	2.50	0.23	2.19	0.18	2.47	2.50	343.388
Oct-27	0.15	2.27	0.19	2.45		0.12	2.19	0.18	2.43		343.211
Nov-27	0.21	2.27	0.18	2.43		0.23	2.18	0.18	2.38		342.932
Dec-27	0.25	2.26	0.18	2.40	2.43	0.29	2.18	0.18	2.34	2.38	342.758

Note: Oct and Nov CPI refers to Nomura's estimate.
Source: BLS, Haver, Nomura

Data Preview

The week ahead

We expect core PCE inflation accelerated to 0.376% m-o-m in May.

S&P PMIs (Tuesday): We expect the preliminary print of the S&P manufacturing PMI tick down in June after having improved over the past three months. Output and new orders likely fell, and price indices remained elevated.

The preliminary print of the S&P services PMI likely remained subdued in June, as uncertainty regarding the Iran war and higher prices continued to weigh on demand. However, we expect the employment index rebounded following a sharp drop in the previous month, in line with employment indices in regional surveys released thus far and other labor market indicators.

New home sales (Wednesday): We expect the pace of new home sales increased to an annual rate of 655k in May from 622k in April. Lead indicators (e.g., the NAHB survey and single family permits) suggest sales likely rebounded in the month. However, headwinds from elevated mortgage rates and Iran war-related uncertainty likely kept the pace of sales below the H2 2025 pace.

Jobless claims (Thursday): Initial claims inched down this week following three consecutive weeks of increases. Continuing claims rose, but remained at a healthy level. The continuing claims release scheduled for release next week corresponds to the NFP survey reference week, an important input into our June NFP forecast.

Personal income and spending (Thursday): We expect personal income growth rebounded to 0.5% m-o-m in May after being roughly unchanged in April. Compensation of employees likely picked up due to strong job gains and a tick up in average hourly earnings growth. In addition, the April drag from farm proprietors' income, partly related to lower payments from the Farmer Bridge Assistance Program, likely waned in May.

We expect personal spending growth increased to 0.6% m-o-m in May. Retail sales remained strong in May, suggesting continued strength in goods spending. Energy related spending likely remained elevated, while services spending rose modestly. Based on our PCE inflation estimates, we expect real spending grew at a modest pace of 0.1% m-o-m.

PCE deflator (Thursday): Incorporating relevant details from CPI, PPI, and import prices, we expect core PCE inflation accelerated to 0.376% m-o-m in May from a revised 0.230% in April. With expected backward revisions, our forecast translates into 3.5% (3.457%) y-o-y core PCE inflation in May from 3.3% in April.

Core CPI inflation moderated and core CPI goods inflation turned negative for the first time since May 2025. We expect core PCE goods inflation also turned negative in May. The increase in core PCE inflation was likely driven by components derived from PPI data. PPI financial service prices rose strongly. In addition, import prices for air passenger fares, an input into PCE's price index for passenger fares for foreign travel, jumped sharply and pushed up our estimate for core PCE inflation.

GDP Q1 third estimate (Thursday): We expect the third estimate of Q1 GDP growth will likely be 2.1%, five-tenths higher than the second estimate of 1.6%. Annual revisions to international trade data suggest that the growth of both exports and imports are likely to be revised down in Q1, but the magnitude of downward revision to imports appears to outweigh the downward revision to exports. As a result, net exports of GDP for Q1 will likely be revised up, which pushes up real GDP growth in the quarter.

Durable goods orders (Thursday): We expect durable goods orders fell 5.2% m-o-m in May following a sharp increase in April. Nondefense aircraft orders likely declined sharply, as Boeing net orders fell to 11 in May from 135 in April. Motor vehicles and parts orders likely remained strong in the month, supported by firmer production and prices.

Excluding volatile transportation equipment, we expect durable goods orders rose 0.6% m-o-m in May. New order indices in various manufacturing surveys strengthened and aggregate employment in the sector picked up. Recent strength in PPI data also suggest continued strength in nominal orders. We expect core capital goods shipments (nondefense capital goods excluding aircraft), an input into GDP's equipment investment, rose 0.6% m-o-m in May. Core capital goods orders also likely rebounded in the month.

Advance goods trade balance (Friday): We expect the advance goods trade deficit widened to $86.5bn in May from $82.4bn in April. Data from major trading partners suggest imports remained firm in the month driven by continued strength in AI-related goods. Goods exports also likely increased modestly, primarily due to energy-related exports, offsetting some of the increase in imports.

University of Michigan consumer sentiment (Friday): We expect the final print of the University of Michigan consumer sentiment index ticked up from its preliminary print of 48.9. Survey responses were collected from 8 June to 22 June, during which President Trump announced a deal to end the war with Iran, likely boosting sentiment. High frequency data from the SF Fed Daily News Sentiment Index and Morning Consult also suggest a slight pickup in sentiment.

Fig. 8: Forecasts for economic indicators released during the week of 22 June

Monday 22 June		Units	Period	Prev 2	Prev 1	Last	Nomura	Consensus
	No key indicators will be released							
Tuesday 23 June								
9.45	S&P manufacturing PMI	Index	Jun-Pre	52.3	54.5	55.1	n.a.	54.8
9.45	S&P services PMI	Index	Jun-Pre	49.8	51.0	50.7	n.a.	51.2
13.00	2-yr note auction	$bn					69	
Wednesday 24 June								
7.00	Mortgage applications	% w-o-w	22-May	-4.4	1.7	-2.3	n.a.	n.a.
10.00	New home sales	000s saar	May	641	663	622	655	640
10.00	New home sales	% m-o-m	May	11.3	3.4	-6.2	5.3	2.9
11.30	2-yr FRN auction	$bn					28	
13.00	5-yr note auction	$bn					70	
Thursday 25 June								
8.30	Initial jobless claims	000s	20-Jun	225	230	226	n.a.	n.a.
8.30	Continuing jobless claims	000s	13-Jun	1771	1786	1810	n.a.	n.a.
8.30	Personal income	% m-o-m	May	0.0	0.5	0.0	0.5	0.4
8.30	Personal spending	% m-o-m	May	0.7	1.0	0.5	0.6	0.5
8.30	PCE deflator	% m-o-m	May	0.4	0.7	0.4	0.503	0.5
8.30	PCE deflator	% y-o-y	May	2.9	3.5	3.8	4.159	4.1
8.30	Core PCE deflator	% m-o-m	May	0.4	0.3	0.2	0.376	0.3
8.30	Core PCE deflator	% y-o-y	May	3.0	3.2	3.3	3.457	3.4
8.30	GDP	%q-o-q ar	Q1-3rd	4.4	0.5	1.6	2.1	1.6
8.30	Core PCE deflator	%q-o-q ar	Q1-3rd	2.9	2.7	4.4	4.5	4.4
8.30	Durable goods orders	% m-o-m	May-Pre	-1.2	1.3	8.0	-5.2	-5.0
8.30	Durable goods orders ex-trans	% m-o-m	May-Pre	1.2	1.1	1.1	0.6	0.2
13.00	7-yr note auction						44	
Friday 26 June								
8.30	Advance goods trade balance	$bn	May	-81.7	-85.1	-83.0	-86.5	-84.5
8.30	Wholesale inventories	% m-o-m	May-Pre	0.9	1.5	0.6	n.a.	n.a.
10.00	U of M consumer sentiment	Index	Jun-Fin	49.8	44.8	48.9	n.a.	n.a.
10.00	U of M 5-10yr inflation expectations	%	Jun-Fin	3.5	3.9	3.4	n.a.	n.a.

Note: Eastern Daylight Time (EDT). All Nomura forecasts are modal.
Source: Haver, Bloomberg, Nomura

US Economic Outlook

We expect the Fed to stay on hold indefinitely due to diminished political pressure, elevated inflation, and hawkish Fedspeak.

Economic activity: Growth momentum has accelerated, supported by easing tariff uncertainty, fiscal stimulus from the One Big Beautiful Bill Act, and the lagged impact of Fed rate cuts amid easy financial conditions. *Business investment appears to be broadening beyond the AI sector*. Higher tax refunds and strong payroll income growth have supported consumer spending thus far, despite headwinds from the Iran war. A broad range of indicators point to resilience and tentative signs of reacceleration in the labor market. We expect the unemployment rate will decline, reaching 4.1% by year-end. We think that the US economy remains relatively insulated from *the crude oil price shock due to the Iran war* given the small share of energy-goods consumption in household spending, as well as domestic energy production.

Inflation: Core inflation remains well above the Fed's 2% target, and we believe risks are skewed to the upside. We forecast Q4 2026 core PCE inflation of 3.3% y-o-y. We expect tariff price pressures will diminish in the coming quarters. However, this will likely be offset by new price pressures driven by supply shortages caused by AI (memory chips, electricity, etc.) along with spillovers from higher energy prices. Wage growth seems to have moderated gradually, but remains higher than the level consistent with the Fed's 2% inflation goal, which is likely to lead to stickiness in supercore service inflation. We expect rent disinflation to continue, but at a very gradual pace.

Policy: *We expect the Fed to remain on hold indefinitely*. Fed Chair Warsh likely remains motivated to ease policy, but recent elevated inflation readings and hawkish Fedspeak suggest he may not be able to convince the majority of the Fed to support rate cuts. Moreover, support among Fed officials for an easing bias has begun to wane. While hikes appear unlikely in the near term, the Fed's hesitance to respond to tentative signs of inflation pressure raises the risk that they may end up "behind the curve," needing to hike quickly to re-establish credibility. The balance of risks is tilted towards tightening at this moment. On tariffs, wider Section 122 exemptions, lower tariff rates, and a greater focus on affordability suggest *limited further escalation* in US trade policy.

Risks: Further escalation of geopolitical risks could lead to a tightening of financial conditions and worsening of the fiscal outlook. Increased political pressures on individual FOMC participants could undermine the Fed's credibility, soliciting sharp market reactions. A bust of the AI boom could lead to material corrections in asset valuations. A continued shortage of memory chips and supply chain disruption due to a protracted Iran war could lead to a second round of goods price increases.

Fig. 9: United States: Details of the forecast

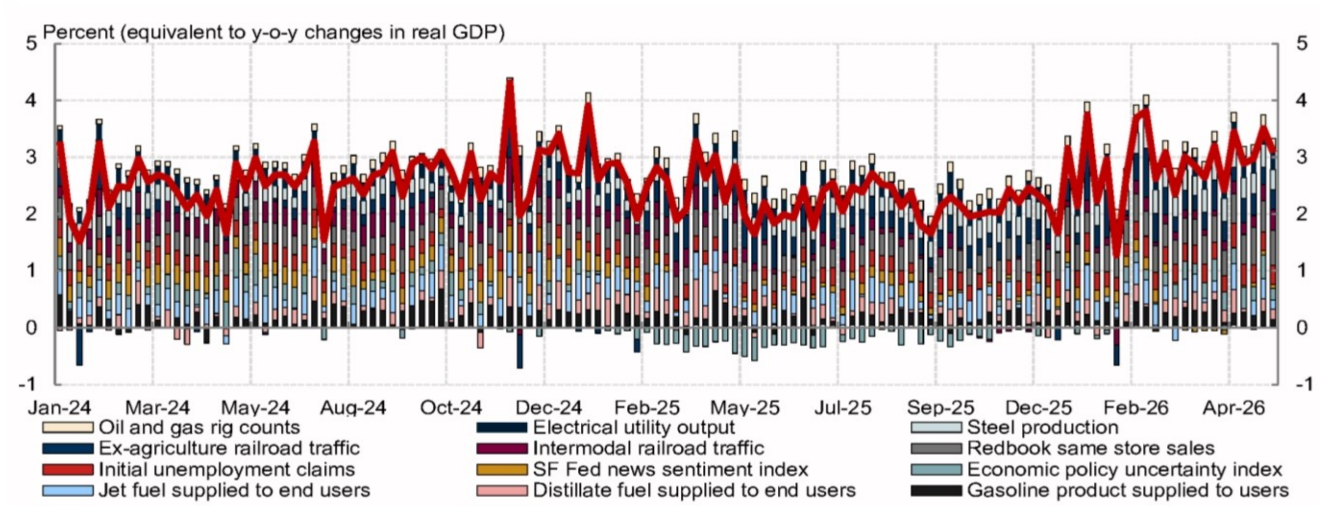
														% y-o-y			% Q4/Q4		
%		1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	2025	2026	2027	2025	2026	2027
	q-o-q																		
Real GDP	(%, a.r.)	**-0.6**	**3.8**	**4.4**	**0.5**	**1.6**	2.7	2.1	1.9	1.9	1.9	1.6	1.6	**2.1**	2.2	1.9	**2.0**	2.1	1.8
	(%)	**-0.2**	**0.9**	**1.1**	**0.1**	**0.4**	0.7	0.5	0.5	0.5	0.5	0.4	0.4						
Personal consumption	(%, a.r.)	**0.6**	**2.5**	**3.5**	**1.9**	**1.4**	1.7	1.9	1.8	1.7	1.7	1.5	1.5	**2.6**	2.0	1.7	**2.1**	1.7	1.8
Nonresidential fixed invest	(%, a.r.)	**9.5**	**7.3**	**3.2**	**2.4**	**10.1**	9.9	4.5	3.6	3.4	3.1	2.5	2.5	**4.1**	6.4	3.7	**5.6**	7.0	5.3
Residential fixed invest	(%, a.r.)	**-1.0**	**-5.1**	**-7.1**	**-1.7**	**-6.3**	2.5	3.2	3.0	2.8	2.8	2.5	2.5	**-2.2**	-2.1	2.8	**-3.8**	0.5	2.9
Government expenditure	(%, a.r.)	**-1.0**	**-0.1**	**2.2**	**-5.6**	**4.4**	3.2	0.9	0.9	0.9	0.9	0.9	0.9	**1.1**	1.0	1.1	**-1.2**	2.4	1.5
Exports	(%, a.r.)	**0.2**	**-1.8**	**9.6**	**-3.2**	**13.1**	6.3	2.3	2.3	2.3	2.3	2.2	2.1	**1.6**	5.2	2.5	**1.1**	5.9	3.3
Imports	(%, a.r.)	**38.0**	**-29.3**	**-4.4**	**-1.0**	**21.1**	15.2	3.5	3.3	2.8	2.5	2.3	2.0	**2.7**	5.2	3.5	**-1.9**	10.5	6.1
Contributions to GDP:																			
Final sales	(pp., a.r.)	**-3.2**	**7.3**	**4.5**	**0.3**	**1.5**	1.9	2.0	1.8	1.8	1.8	1.6	1.6	**2.2**	2.2	1.8	**2.1**	1.9	1.7
Net trade	(pp., a.r.)	**-4.7**	**4.8**	**1.6**	**-0.2**	**-1.3**	-1.3	-0.2	-0.2	-0.1	-0.1	-0.1	0.0	**-0.2**	-0.2	-0.2	**0.4**	-0.7	-0.1
Inventories	(pp., a.r.)	**2.6**	**-3.4**	**-0.1**	**0.1**	**0.1**	0.8	0.2	0.1	0.1	0.1	0.1	0.0	**-0.1**	0.0	0.2	**-0.1**	0.2	0.1
	As noted																		
Unemployment rate	(%)	**4.1**	**4.2**	**4.3**	**4.5**	**4.3**	4.3	4.2	4.1	4.0	3.9	3.9	3.9	**4.3**	4.2	3.9			
Nonfarm payrolls	(000s)	**20**	**34**	**23**	**-39**	**68**	75	90	120	100	90	90	90	**10**	88	90			
Housing starts	(000s, a.r.)	**1401**	**1354**	**1346**	**1323**	**1419**	1410	1430	1420	1400	1390	1390	1380	**1356**	1420	1390			
Consumer prices	(%, y-o-y)	**2.7**	**2.5**	**2.9**	**2.7**	**2.7**	3.9	3.5	3.5	3.2	2.0	2.2	2.2	**2.7**	3.4	2.4			
Core CPI	(%, y-o-y)	**3.1**	**2.8**	**3.1**	**2.7**	**2.5**	2.8	2.7	2.9	2.9	2.6	2.5	2.4	**2.9**	2.7	2.6			
PCE Deflator	(%, y-o-y)	**2.6**	**2.4**	**2.7**	**2.8**	**3.1**	4.0	3.8	3.7	3.1	2.2	2.3	2.3	**2.6**	3.6	2.5			
Core PCE	(%, y-o-y)	**2.8**	**2.7**	**2.9**	**2.9**	**3.1**	3.4	3.4	3.4	2.9	2.6	2.5	2.4	**2.8**	3.3	2.6			
Federal budget	(% GDP)													**-5.8**	-6.4	-6.4			
Current account balance	(% GDP)													**-3.7**	-3.7	-3.4			
Fed securities portfolio	($trn)	**6.32**	**6.24**	**6.19**	**6.15**	**6.27**	6.36	6.42	6.48	6.54	6.60	6.66	6.72	**6.15**	6.48	6.72			
Fed funds target midpoint	(%)	**4.375**	**4.375**	**4.125**	**3.625**	**3.625**	3.625	3.625	3.625	3.625	3.625	3.625	3.625	**3.625**	3.625	3.625			
TSY 2-year note	(%)	**3.89**	**3.72**	**3.60**	**3.47**	**3.79**	4.15	4.15	4.10	4.10	4.05	4.00	3.95	**3.47**	4.10	3.95			
TSY 5-year note	(%)	**3.96**	**3.79**	**3.74**	**3.73**	**3.92**	4.30	4.30	4.25	4.25	4.25	4.20	4.20	**3.73**	4.25	4.20			
TSY 10-year note	(%)	**4.23**	**4.24**	**4.16**	**4.18**	**4.30**	4.60	4.60	4.60	4.60	4.60	4.55	4.50	**4.18**	4.60	4.50			

Note: The unemployment rate is a quarterly average as a percentage of the labor force. Nonfarm payrolls are average monthly changes during the period. Inflation measures and calendar year GDP are year-over-year percent changes. The Fed securities portfolio is end-of-period. The annual interest rate forecasts are end-of-period. Housing starts are period averages. Numbers in bold are actual values. Table reflects data available as of 18 June 2026. All Nomura forecasts are modal

Source: BEA, BLS, Census Bureau, FRB, Haver, Nomura

Week in Review

Fig. 10: Weekly data tracker and its decomposition



Note: We estimate a latent factor that contributes the most to the total variance of 13 daily and weekly US indicators covering industrial and consumer sectors via principal component analysis (i.e., the first principal component). We calibrate this factor to track four-quarter changes in real GDP.

Source: AAR, Baker Hughes, DOL, EIA, EEI, MBA, PolicyUncertainty, Redbook Research, SF Fed, Haver Analytics, Nomura

Policy Watch - June FOMC Recap

Appendix A-1

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